TRADING ANALYSIS STUDENT TUTORIAL SERIES

Support, Resistance, Channels, and Accumulation Zones

A practical tutorial on levels, repeated tests, role reversal, price compression, and chart zones.

SECTION 2

Prepared: May 15, 2026

Lesson map

Students learn how to mark price levels as zones, how to recognize repeated tests, and how support can become resistance after a breakdown.

Learning objectives

- Define support and resistance as zones where supply and demand previously reacted.
- Identify repeated tests of a level and explain why repeated reactions matter.
- Explain role reversal: support can become resistance, and resistance can become support.
- Use channels and accumulation zones as structure, not as guaranteed predictions.

Source anchor from the class session

This tutorial is built from the May 14 discussion where a parallel channel was drawn, price tested a level multiple times, a breakout was identified, and previous support becoming resistance was discussed. Class timestamps: approximately 27:04 to 27:51.

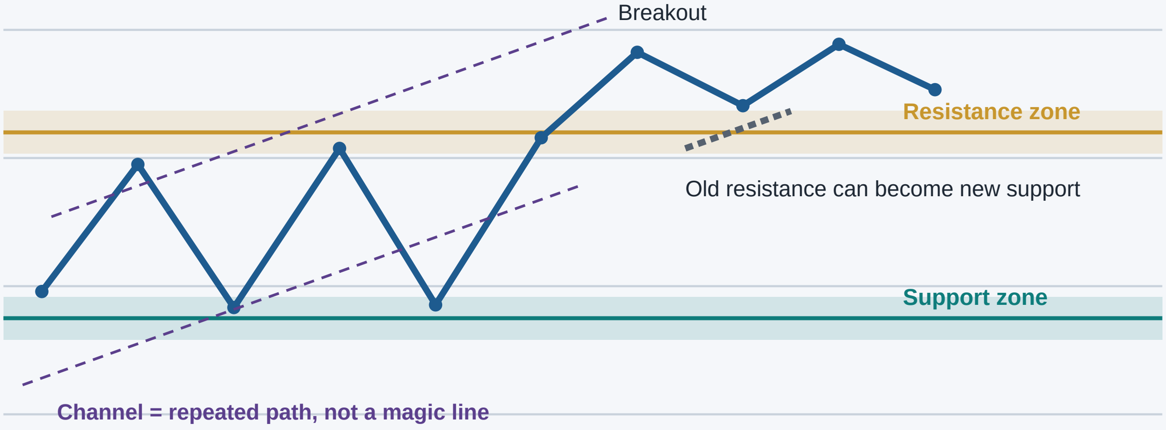
How students should use this PDF

- Read the lesson once without charts, then repeat the lesson with a live or replay chart open.
- Do not turn any concept into a buy/sell rule. Every tool here is context until confirmed by price, volume, time, and risk.
- Complete the worksheet before moving to the next tutorial. The goal is repeatable thinking, not prediction.

Levels are zones of participation

A support or resistance level is not a magic line. It is an area where buyers or sellers have shown enough interest to change price behavior. The more often price reacts near an area, and the stronger the reaction, the more attention the level deserves. Students should mark zones, not hairline-perfect prices, because real markets trade through, reject, retest, and reclaim areas in messy ways.

Support, resistance, and role reversal



> *Master rule: a level becomes meaningful because price reacts there. A line is only useful if it helps the student explain supply, demand, rejection, acceptance, or role reversal.*

Key vocabulary

Term	Student-friendly meaning
Support	An area where buyers previously defended price or sellers stopped pressing lower.
Resistance	An area where sellers previously rejected price or buyers stopped pressing higher.
Zone	A practical range around a level. It allows for wicks, spreads, and imperfect tests.
Role reversal	When broken support becomes resistance or broken resistance becomes support.
Channel	A repeated path where price moves between roughly parallel boundaries.
Accumulation	Sideways or compressed price behavior where positions may be building before a larger move.

1. Draw zones, not perfect lines

Beginners often want exact lines because exact lines feel objective. Professional analysis is more flexible. Price can wick through a level, close above it, retest it, or fail at it. A zone captures the area of repeated reaction without pretending the market must respect one exact price.

A good zone uses evidence: multiple touches, clean reactions, volume at the level, and alignment with higher timeframes. A bad zone is drawn because the student wants a trade.

- Use the bodies and wicks of prior candles to estimate the zone width.
- Prefer obvious levels that other participants can also see.
- Mark major levels first, then smaller intraday levels.
- Delete levels that no longer help explain price behavior.

2. Repeated tests build importance, but they also weaken the level

When price returns to the same area several times, students should pay attention. Repeated tests show that participants are transacting around the same level. However, each test can also consume resting orders. A level that holds three times may be important, but it may also be closer to breaking if buyers or sellers are being exhausted.

The student should ask: Is each reaction stronger or weaker? Is volume increasing or fading? Are candles closing away from the level or sitting directly on it?

Evidence	Stronger level	Weaker level
Reaction	Sharp rejection away from zone	Small bounce that quickly fades
Volume	Volume confirms the reaction	No volume increase or unclear participation
Closes	Candles close away from the zone	Candles close inside or through the zone
Timeframe	Level visible on higher timeframe	Only visible after zooming too far in

3. Role reversal is a core structural idea

After support breaks, traders who bought near support may want to exit on a retest. That selling can turn old support into new resistance. After resistance breaks, traders who missed the move may wait to buy the retest, which can turn old resistance into new support.

Students should learn to mark the break, the retest, and the hold or failure. The strongest learning comes from comparing a clean role reversal to a fake role reversal that immediately fails.

Classroom phrase

Old support becoming resistance is not a slogan. It is a behavior: price breaks below, returns to the same area, fails to reclaim it, and sellers defend it.

4. Channels and accumulation zones

A channel is useful when price repeatedly trades between two roughly parallel boundaries. It gives students a visual framework for trend direction, overextension, and possible reaction areas. It should not be treated as a promise that price will keep bouncing forever.

Accumulation or compression is a sideways area where price stops making clean progress. This can happen before a breakout, a breakdown, or a failed move. The professional response is to wait for evidence instead of guessing the direction.

Professional checklist

Use this checklist before calling a level important.

#	Question	What the student should write
1	How many reactions?	Count touches, but separate strong reactions from weak touches.
2	Is it a zone?	Draw the area wide enough to include bodies and meaningful wicks.
3	Is role reversal visible?	Look for break, retest, and hold/failure.
4	What does volume say?	Note whether volume increases near the level or fades.
5	Which timeframe sees it?	Mark whether the level is intraday only or higher-timeframe relevant.

Common student mistakes

- Drawing too many lines until every price looks important.
- Using an exact line when the chart clearly behaves like a zone.
- Assuming every third test must break or every retest must hold.
- Ignoring whether price closes above or below the level.
- Forgetting that a channel helps describe structure, not guarantee direction.

Student practice lab

The goal is to mark fewer, better levels.

Exercise

- Choose a recent intraday chart and mark only three support/resistance zones.
- For each zone, write: number of touches, strongest candle reaction, volume behavior, and timeframe visibility.
- Find one example of role reversal. Label the original level, the break, the retest, and the failure or hold.
- Draw one channel only if price has at least three meaningful reactions across the channel boundaries.
- Write whether the current market is trending, ranging, accumulating, or unclear.

Mini quiz

1. Why should students draw zones instead of exact lines?

Markets trade with wicks, spreads, retests, and imperfect reactions.

2. What evidence makes support stronger?

Repeated reactions, strong closes away from the area, and confirming volume.

3. What is role reversal?

Broken support can become resistance; broken resistance can become support.

4. What is the danger of too many levels?

The student loses decision clarity and can justify any trade.

Answer key

1. Zones reflect real market behavior better than perfect lines. 2. Strong reactions, meaningful volume, and higher-timeframe visibility. 3. Role reversal happens when a broken level changes function after a retest. 4. Too many levels create noise and confirmation bias.

External source plan for students

These sources reinforce the level-based framework with neutral outside education.

Source	Why assign it	Student task
What Is Support and Resistance? Fidelity	Direct explanation of support/resistance and the concept of role reversal after a level breaks.	Find one chart where support becomes resistance and write the sequence.
Pivot Points: Resistance and Support Fidelity	Shows that intraday support/resistance can be calculated as well as visually marked.	Compare a visually drawn level to a pivot level and note whether they align.
Using Technical Analysis Fidelity	Places support/resistance inside a broader technical analysis framework.	Summarize how support/resistance fits with indicators and benchmarks.

Instructor note

Do not reward students for drawing many lines. Reward them for explaining why a few levels matter. The strongest grading rubric is evidence quality: touch count, reaction strength, volume, timeframe, and role reversal behavior.

Risk reminder

Trading and day trading involve substantial risk. Students should practice in simulation, document a plan before any live trade, and understand that leverage can amplify losses as well as gains.